

Amendment No. 1 to HB0224

White
Signature of Sponsor

AMEND Senate Bill No. 593

House Bill No. 224*

by deleting § 49-2-903 in Section 1 and substituting:

49-2-903.

A local board of education may establish an investment trust for the purpose of prospectively funding capital improvements for the benefit of the LEA. In order for a local board of education to establish and maintain an investment trust pursuant to this part, the local board of education shall:

- (1) Adopt a capital improvements plan;
- (2) Maintain a public school fund balance that is equal to no less than two (2) months of expenditures based on the LEA's general purpose budget;
- (3) Ensure that any transfer of funds to the trust are approved by the local legislative body for the county or municipality that serves as the local funding body for the LEA;
- (4) Adopt, in writing, an investment policy that directs how assets in the trust may be invested;
- (5) Ensure that the trust conforms to all applicable laws, rules, and regulations of the internal revenue service, if any;
- (6) Ensure that the local board of education's capital improvements plan is reviewed by a third party; and
- (7) Ensure that the trust document is submitted to, and approved by, the state funding board.